Lead Broker Blueprint

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Module 4

The Buyer Side

What this module does

Module 4 turns from foundation (Modules 1-3) to operationally specific work. The focus is the demand side of the lead chain: who actually buys leads, how lead-buying relationships are structured, what's in a real lead purchase agreement, how lead delivery actually works, and how to have a credible conversation with a buyer when you have no track record.

By the end of this module you can: read a lead purchase agreement and identify the clauses that matter; explain in operator terms what a buyer is paying for and when they'll complain; structure a dispute-handling process; and approach buyer prospects in your chosen vertical with a conversation script that works at small scale.

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Module 4 overview

Seven lessons:

- 4.1 Who actually buys leads (profiles by vertical).
- 4.2 How buyers find lead vendors today.
- 4.3 The lead purchase agreement (LPA) — clauses that matter.
- 4.4 Pricing models in practice.
- 4.5 Lead delivery methods.
- 4.6 Quality definitions and disputes.
- 4.7 The honest conversation about being new.

Three deliverables: a sample lead purchase agreement (marked as a template requiring counsel review), a lead-quality dispute decision tree, and buyer-side conversation scripts.

Lesson 4.1 — Who actually buys leads

> **Learning objective**
> Profile the three buyer segments by vertical: solo operators, mid-size firms and franchises, large advertisers with procurement teams. Articulate why buyer profile changes how you sell.

Three buyer profiles

Solo operators

Single-attorney PI firms, single-office medical practices, owner-operator HVAC and roofing contractors, individual insurance agents, solo mortgage brokers. Typical volume: 5–50 leads per month. Contracts are informal — often a short MOU or a simple PO; sometimes nothing more than an email exchange. Quality definitions are loose. Payment is usually monthly invoice, net 15 or net 30. Price sensitivity is high; loyalty (once earned) is high too.

How to sell to solo operators: warm introductions and local-network referrals beat cold outreach. The conversation is about specific leads, specific weeks, specific dollars. Reliability and responsiveness matter more than scale or sophistication.

Mid-size firms and franchises

10–50-attorney PI firms, 5–25-location HVAC chains, regional insurance agencies, multi-branch mortgage brokers, large dental practices. Typical volume: 100–1,000 leads per month. Contracts are formal — written LPAs with named clauses, dispute processes, audit rights. Quality criteria are specified contractually. Payment is usually net 30 or net 45, sometimes with hold-back.

How to sell to mid-size firms: introductions through industry conferences and contractor associations work; cold outreach can work if grounded in vertical-specific knowledge. The buyer's intake manager (not the owner) is often the decision-maker.

Large advertisers with procurement teams

National insurance carriers (Progressive, GEICO, State Farm), large law firms with intake departments (Morgan & Morgan-scale and similar), national mortgage lenders, large healthcare DSOs, large remodeling franchises. Typical volume: thousands to tens of thousands of leads per month. Contracts are highly formal — multi-page LPAs with rep and warranty provisions, indemnification, audit and inspection rights, SLA-style quality metrics, often a vendor onboarding process that takes months.

How to sell to large advertisers: track record is the entry requirement. Procurement teams require references, financial-stability documentation, certified consent records, audit-ready operations, and often vendor-onboarding diligence packages. New operators rarely access this tier directly; they usually grow into it after demonstrated success at the mid-size tier.

On-camera summary

Three buyer segments. Solo operators are accessible and informal but small-volume. Mid-size firms are the workhorse buyer segment for most independent operators. Large advertisers require track record. Match your sales approach to the buyer's tier — a one-page MOU is right for a solo buyer and wrong for a procurement team.

Sources

- LeadsCouncil and Performance Marketing Association annual operator surveys (buyer-segment profiles).
- Public earnings disclosures of QuinStreet, MediaAlpha, EverQuote, Angi (segment economics by buyer size).

Lesson 4.2 — How buyers find lead vendors today

> **Learning objective**
> Recognize the channels buyers use to find lead vendors and prioritize the ones available to a new operator.

The five channels, in approximate order of importance

1. Referrals from other buyers and operators

By a wide margin the largest source of new vendor relationships. A roofing contractor asks another contractor at a trade dinner where they get leads; an attorney asks intake-manager peers in a state-bar marketing committee; an insurance agency owner posts in an industry Slack. New vendor relationships flow along these existing channels far more often than they flow from cold outreach.

2. Industry conferences

LeadsCon is the dominant general lead-gen conference; vertical-specific conferences (Mass Torts Made Perfect, ITA Insurance Marketing & Tech Summit, Service World Expo, NADA Show, Inman Connect) are the major specialty venues. Conference-floor conversations and after-hours dinners produce a substantial portion of the year's new buyer-vendor relationships.

3. Trade publications and operator content

LeadsCouncil, Performance Marketing Association, vertical-specific publications, the long-running lead-gen podcasts, and operator content on LinkedIn. Buyers find vendors who publish substantive content — and the substantive part matters; performative content does not generate vendor inquiries from sophisticated buyers.

4. Slack and Discord communities

LeadsCouncil maintains a community; vertical-specific communities exist for legal (TCPA Academy / Klein Moynihan Turco), home services (a long tail of contractor Slack groups), insurance (IMC and adjacent groups). Operators who participate substantively in these communities surface as vendor candidates.

5. Cold outreach

Effective when grounded in vertical-specific value and a specific, near-term buyer pain. "Hi, we're a general lead-gen company" rarely opens a conversation. "We're producing 30-50 exclusive form leads per week in [specific sub-vertical] in [your metro] — here's a sample of three recent leads and the consent disclosure they signed" sometimes does.

Where new operators should focus

Channels 1 (referrals) and 2 (conferences) are highest-yield for new operators. Channels 4 (communities) and 3 (publications) are slower but compounding. Channel 5 (cold outreach) is the lowest-yield in absolute terms but the most controllable — every newcomer ends up doing some of it, even if it's not their primary funnel.

On-camera summary

Buyers find vendors through referrals, conferences, trade content, communities, and (occasionally) cold outreach. For a new operator, referrals and conferences are highest-yield; communities and content are compounding; cold outreach is controllable but low-conversion. Treat your first 6-12 months as community-building, not pure prospecting.

Sources

- LeadsCon, LeadsCouncil, and Performance Marketing Association public materials.
- Operator commentary across the long-running lead-gen podcasts.

Lesson 4.3 — The lead purchase agreement

> **Learning objective**
> Recognize the major clauses in a typical lead purchase agreement (LPA) and identify which are negotiable, which are not, and what each one means in operator terms.

The clauses that matter

Price per lead and pricing-model definition

The dollar amount per delivered lead (or qualified call, signed case, etc.), plus a precise definition of what counts as the deliverable. Defines pricing tiers, premium-and-discount conditions, and any volume-based pricing escalators. Ambiguity here is the #1 source of LPA disputes; precision in the deliverable definition is worth significant negotiation time.

Lead specifications (qualification criteria)

The criteria the lead must meet to be billable: geography (zip codes or counties), demographic (e.g., homeowner, age range), product/service requested, qualification questions (e.g., injured with treatment, plumbing emergency vs. routine service), recency. Specifications are how the buyer tells you exactly what they will pay for. Vague specifications create unenforceable obligations.

Exclusivity

Whether the lead is sold to one buyer only (exclusive) or to multiple buyers (shared), and how many other buyers in shared cases. Defines the buyer's price premium and the seller's volume monetization.

Return and credit policy

The conditions under which the buyer can return a lead for credit or refund: duplicate, wrong number, out-of-geography, fails qualification questions, do-not-call match, undeliverable. The window during which returns must be claimed (24 hours, 7 days, 30 days). The format of the return notice and the seller's response time.

Payment terms

Net 15, net 30, net 45, sometimes net 60 with hold-back. Method (ACH, wire, check). Late-payment interest. Volume discounts and prepayment terms. For new vendors, expect 50%-prepayment-and-50%-net-30 or full prepayment for the first 30-90 days.

Indemnification

Each party's obligation to defend and indemnify the other against third-party claims arising from the indemnifying party's actions. The seller typically indemnifies for consent-record defects, TCPA claims, and other compliance breaches; the buyer typically indemnifies for its handling of leads post-delivery

(calling them outside the agreed parameters, etc.). Indemnification is one of the most-negotiated provisions in any LPA.

TCPA compliance representations

The seller's representations that every delivered lead was captured under compliant PEWC; that consent records (TrustedForm or equivalent) are maintained and produced on request; that the seller's traffic sources do not violate the TCPA. These reps are the legal backbone of the LPA from the buyer's perspective; breach of these reps is the most common predicate for indemnification claims.

Audit rights

The buyer's right to audit a defined sample of the seller's consent records and lead-source documentation. Typically: random sampling of N leads per quarter, with the seller producing the underlying TrustedForm URLs, source URLs, and consent disclosures within a defined window. Sophisticated buyers require this; new operators sometimes resist; the resistance is usually a bad signal to the buyer.

Termination

How either party can end the relationship. "For convenience" termination (typically 30-60 days' notice) is the most common; "for cause" termination (immediate, on breach) covers material defaults. Wind-down provisions cover already-paid leads and outstanding invoices.

On-camera summary

A real LPA covers price and deliverable definition, lead specifications, exclusivity, return policy, payment terms, indemnification, TCPA reps and audit rights, and termination. Treat all of these as negotiable in principle; the seller's posture on audit rights and TCPA reps tells a sophisticated buyer how mature the seller's compliance program is. The sample LPA template (delivered with this module) is annotated.

Sources

- Sample LPA template (Module 4 deliverable; consult counsel before signing any agreement).
- Klein Moynihan Turco, Eversheds Sutherland, Squire Patton Boggs — law-firm-published TCPA and lead-gen contract commentaries.

Lesson 4.4 — Pricing models in practice

> **Learning objective**
> Match pricing models to operational realities: when each model fits the buyer's intake stage and the seller's traffic profile.

The matrix

Model	When it fits	When it doesn't
Flat per-lead (shared)	Buyer wants volume; seller wants inventory monetization across multiple buyers; intake conversion is moderate.	Buyer with very strong intake who wants the higher-converting product (use exclusive).
Flat per-lead (exclusive)	Buyer with strong intake who pays a premium for higher conversion; seller can deliver enough inventory.	Brand-new buyer relationships where exclusivity adds operational risk before trust is established.
Pay-per-call	Verticals where live-call connection drives intake (insurance, Medicare, home services in urgent moments).	Verticals where form leads can be worked async; small operators without call-routing infrastructure.
CPA / per-signed-case	Established buyer with strong intake; long, defensible CPA history with that buyer.	Newer buyer relationships; weak intake operations; sub-verticals with inconsistent conversion.
Retainer / subscription	Predictable monthly volume; established trust; mostly seen in B2B and high-volume home services.	New relationships, volatile inventory, traffic-dependent operations.
Revenue share	B2B verticals not under licensing constraints; specific arrangements among already-licensed parties.	Legal, insurance, mortgage, healthcare (see Module 3).

Practical guidance for newcomers

Default to shared flat-fee per lead with one or two starter buyers in your chosen vertical. Add exclusive pricing on the same or different buyers once the relationship is stable. Hold off on CPA, retainer, and pay-per-call until your operational maturity supports them. The most common newcomer mistake on pricing is taking a CPA deal that compensates for weak buyer intake — the seller bears all the conversion risk and the math rarely works.

On-camera summary

Pricing models are operationally specific. Match the model to the buyer's intake strength, the seller's inventory consistency, and the vertical's regulatory frame. Start with shared per-lead; expand carefully.

Sources

- Module 1.3 (business models).
- LeadsCouncil annual pricing survey.

Lesson 4.5 — Lead delivery methods

> **Learning objective**
> Recognize the major delivery formats — email, HTTP POST / API, live transfer, recorded call — and pair each with the buyer's intake operation.

The formats

- Email. Plain-text or HTML email with lead data in the body. Lowest-tech delivery; common with very small buyers. Latency adds 30-300 seconds vs API and meaningfully reduces intake conversion.
- HTTP POST / form post. The seller's system sends an HTTP POST to a URL the buyer provides; the buyer's CRM receives the data in near real-time. The standard for any buyer with even modest tech sophistication.
- API integration. The seller integrates directly with the buyer's CRM via API. Slightly higher setup cost; faster, more reliable, and easier to extend with later metadata fields (consent record URL, source attribution).
- Live call transfer. The seller's call center qualifies the consumer on the phone and transfers the live call to the buyer's intake line. Used in pay-per-call; priced significantly higher than form leads.
- Warm transfer. Like live transfer, but with a brief agent-to-agent introduction before the consumer is connected. Higher trust, higher price.
- Recorded call. The seller's call center captures a qualified phone call and delivers the recording (plus consumer contact details) to the buyer; the buyer then contacts the consumer. A middle ground between form lead and live transfer.

How LeadConduit and similar platforms fit

Distribution platforms (LeadConduit, Boberdoo, Phonexa, Leadspedia) sit between the seller's lead capture and the buyer's CRM. They handle deduplication, validation, scoring, routing, and consent-record propagation. A seller running multiple buyers in multiple verticals usually runs everything through one of these platforms rather than maintaining bespoke integrations with each buyer.

On-camera summary

Email is the floor; HTTP POST and API are the working standard; live and warm transfer are the premium tier; recorded call is a middle option. Run through a distribution platform once you have more than two or three concurrent buyers.

Sources

- ActiveProspect LeadConduit, Boberdoo, Phonexa, Leadspedia public product documentation.

Lesson 4.6 — Quality definitions and disputes

> **Learning objective**
> Articulate what "qualified" actually means contractually, recognize the common return reasons, and structure a dispute process that works for both sides.

"Qualified" is contractual

A qualified lead is whatever the LPA says is qualified. Common qualification dimensions:

- Geography (within the buyer's service area, defined by zip / county / state).
- Demographic (homeowner; age range; income bracket).
- Service-specific qualification (injury within X months and currently receiving treatment; HVAC system age over X years; mortgage seeking purchase loan in next 90 days).
- Timing (submitted within the past 24 hours; reached during business hours for pay-per-call).
- Channel (form lead vs phone lead; specific traffic source if the LPA restricts certain sources).

If the LPA's qualification language is vague, disputes are inevitable. Negotiate precision into the agreement before signing it.

Common return reasons

Reason	Typical evidence	Resolution
Duplicate of prior lead	Buyer's CRM record showing earlier submission.	Refund or credit; seller usually accepts.
Wrong / disconnected phone number	Telephony validation log; buyer's failed-call record.	Refund / credit if proven; seller may dispute if phone validated at capture.
Out-of-geography	Submitted address vs. LPA's geography spec.	Refund / credit; usually clean.
Fails qualification questions	Recorded intake / consumer disclaimer.	Refund / credit if qualification was contractually specified; dispute if not.
DNC / consent issue	Scrubbing-vendor record; revocation registration.	Refund / credit; serious compliance signal.
Consumer never responds (intake fail)	Buyer's call/email attempt log.	Generally not refundable — non-response is not a qualification failure under typical LPAs.

Structuring a dispute process that works

Three principles:

1. Time-box the return window. 24 hours for shared form leads; 48-72 hours for exclusive; 5-7 days for higher-priced or B2B leads. Beyond the window, no returns. This protects the seller from buyers who try to return leads weeks later after working them unsuccessfully.
2. Require evidence. Returns without supporting evidence (CRM record, recording, screenshot) should be rejected as a matter of policy. Evidence requirements force buyers to manage their intake operation.
3. Track dispute rate. The buyer's dispute rate is a quality signal about the buyer (intake operation) as much as about the seller (lead quality). A buyer disputing 20%+ of delivered leads is signaling something about their operation — investigate before assuming it's your problem.

On-camera summary

"Qualified" is contractual. Common return reasons are well-defined; non-response is generally not a qualification failure. Time-box returns, require evidence, and track dispute rate as a buyer signal. The lead-quality dispute decision tree (Module 4 deliverable) operationalizes this.

Sources

- Industry-standard LPA terms (see sample LPA template, Module 4 deliverable).
- LeadsCouncil contract-best-practices materials.

Lesson 4.7 — The honest conversation about being new

> **Learning objective**
> Approach a buyer with a credible opening when you have no track record. Recognize which buyers will work with newcomers and which won't.

The starting reality

Most buyers — especially mid-size and large — will say no to a brand-new vendor. The reason is rational: a new vendor adds operational and compliance risk in exchange for marginal volume, and the buyer's existing vendors have already paid the credibility cost. Newcomers should expect 80%+ rejection rate on outbound, often with no response at all.

Who will say yes

- Solo operators who buy in low volume and care about reliability over scale.
- Mid-size firms specifically looking to diversify supply (often after one of their existing vendors had a quality issue).
- Buyers in newer or rapidly growing sub-verticals (e.g., GLP-1 weight-loss telehealth) where established vendors don't yet exist at scale.
- Buyers with personal connections to the operator (warm intros from the network).

What's negotiable, what isn't

As a new vendor, expect to give on:

- Payment terms. Net 30 or 45 isn't typical for new vendors; prepayment or 50/50 split for the first 30-90 days is.
- Volume commitments. The buyer commits to little; you commit to delivery quality.
- Return windows. Buyers may negotiate longer windows than your norm.

Don't give on:

- TCPA representations or audit rights — these protect both sides.
- Indemnification scope — your indemnification posture has to be defensible against your own counsel's reading.
- Quality definitions — fight for precision in qualification specs, even if the buyer's standard contract is vague.

The opening conversation

A workable opener for a new operator approaching a small or mid-size buyer:

> Hi [Name] — I run a small lead-gen operation focused on [specific sub-vertical] in [geography]. Producing about [volume] leads per [period] right now; consent capture is on TrustedForm; I'm starting from zero buyer relationships and looking for two or three starter customers willing to evaluate a small batch.
>
> I'd send the first 5 leads at no cost so you can evaluate intake conversion against your existing supply. If they work for you we can talk about ongoing pricing and terms. If they don't, no obligation. Worth a 15-minute call to discuss?

The opener works because it's specific (vertical, geography, volume), credible (TrustedForm, evaluation batch), and asks for a low-commitment first step (15-minute call, sample leads). The full buyer-side conversation scripts (Module 4 deliverable) cover follow-ups, objection handling, and the negotiation conversation.

On-camera summary

Most buyers will say no to a new vendor; expect 80%+ rejection. The yeses come from solo operators, mid-size firms diversifying supply, growth-vertical buyers, and warm-intro relationships. Give on payment terms; don't give on TCPA reps, indemnification, or quality definitions. The opener works when it's specific, credible, and low-commitment.

Sources

- Operator commentary in LeadsCon and LeadsCouncil materials on new-vendor onboarding.
- Module 4 deliverable: buyer-side conversation scripts.

Module 4 wrap-up and what's next

You've now covered the buyer side: profiles, channels, the LPA structure, pricing-model matching, delivery formats, quality definitions, and the honest conversation about being new. The three deliverables operationalize the module.

What Module 5 covers

Module 5 turns to the supply side: traffic sources, conversion mechanics, intake design, and the unit economics that make or break a lead-gen operation. Where Module 4 was about selling leads, Module 5 is about producing them.

> **Standing disclosures**
> This module is a research-based primer, not legal advice. The sample LPA template included as a Module 4 deliverable is illustrative; do not sign it (or any agreement) without review by counsel licensed in your jurisdiction.